

7-2b Elements of Internal Control

The three internal control objectives can be achieved by applying the five **elements of internal control** (The elements that together sustain internal control and include the control environment, risk assessment, control activities, information and communication, and monitoring.)

set forth by the *Integrated Framework*. These elements are as follows:

- Control environment
- Risk assessment
- Control procedures
- Monitoring
- Information and communication

Business Insight

Employee Fraud

The Association of Fraud Examiners estimates that organizations lose 5% of annual revenues worldwide, or more than \$4 trillion, to employee fraud. Additionally, internal control weaknesses existed in approximately one-half of all fraud cases. A common *cash receipts* employee fraud can occur when employees accept cash payments from customers, do not record the sale, and then pocket the cash. A common *cash payments* employee fraud can occur when employees bill their employer for false services or personal items.

Source: 2018 ACFE Report to the Nations on Occupational Fraud and Abuse, Association of Fraud Examiners.

The elements of internal control are illustrated in [Exhibit 4](#).

Elements of Internal Control



In [Exhibit 4](#), the elements of internal control form an umbrella over the business to protect it from control threats. The control environment is the size of the umbrella. Risk assessment, control procedures, and monitoring are the fabric of the umbrella, which keep it from leaking. Information and communication connect the umbrella to management and the business.

Link to eBay

As technology changes, [eBay](#) must continually monitor and strengthen its controls over its e-commerce transactions.